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Case Number: 25PSCV04159 Hearing Date: June 24, 2026 Dept: H

Zhang v. Hart, et al., Case

No. 25PSCV04159

ORDER ON

DEMURRER AND MOTION TO STRIKE

1. Defendant Nicholas Raymond Hart’s Demurrer

to Complaint is sustained as to the fourth, fifth and seventh causes of action, with 20 days' leave to amend, and overruled as to the second, third, and eighth causes of action.

2. Defendant Nicholas Raymond Hart’s Motion

to Strike Portions of Plaintiff’s Complaint is granted, in part (i.e., as to the allegations regarding attorneys fees), and denied, in

part (i.e., as to the allegations regarding punitive damages and Defendant's finances).

Background

Plaintiff

Maggie Zhang, as Trustee of the KCWZ Irrevocable Trust (“Plaintiff”) alleges as

follows:

On

January 31, 2024, Plaintiff, on the one hand, and Nicholas Raymond Hart (“Hart”) and Above All Construction (“AAC”) (together, “Defendants”), on the other hand, entered into a written construction contract for the renovation and conversion of Plaintiff’s residential property. Defendants unilaterally modified the scope of work without written change orders, performed or billed for unauthorized “upgrade” work, issued inflated and unsupported invoices, demanded additional payments under threat of work stoppage and failed to perform the work in a timely manner.

On

November 18, 2025, Plaintiff filed a complaint, asserting causes of action against Defendants and Does 1-25 for: (1) Breach of Written Contract, (2) Breach of the Implied Covenant of Good Faith and Fair Dealing, (3) Fraud/Intentional Misrepresentation, (4) Violation of Business and Professions Code § 17200—Unlawful and Unfair Business Practices, (5) Unjust Enrichment/Money Had and Received, (6) Negligence—Failure to Perform Work in a Skillful and Workmanlike Manner, (7) Declaratory Relief, and (8) Assault.

A Case Management Conference and an Order to Show Cause Re: Failure to File Proof of Service as to Above All Construction are set for June 24, 2026.

1. Demurrer

Legal

Standard

A demurrer may be made on the grounds that the pleading, inter alia, does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

“A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905 [citations omitted].) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) “[A] demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction placed on an instrument pleaded therein, or facts impossible in law, or allegations contrary to facts of which a court may take judicial knowledge.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 [citations omitted].)

Discussion

Hart

demurs, per Code of Civil Procedure section 430.10(e) to the second through fifth, seventh and eighth causes of action in Plaintiff's complaint, on the basis that they each fail to state facts sufficient to constitute a cause of action.

Second Cause of Action (i.e., Breach of the Implied Covenant of Good Faith and Fair Dealing)

"A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated . . . . [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (Id. at 1394-95.) To recover in tort for breach of the implied covenant, the defendant must "have acted unreasonably or without proper cause." (Id.

at 1395 [cleaned up].)

A cause

of action for breach of the implied covenant may be regarded as superfluous if the allegations “do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action.” (Bionghi v. Metro Water Dist. (1999) 70 Cal.App.4th 1358, 1370 [internal citations omitted].)

Plaintiff

sufficiently pleads this cause of action. The allegations here go beyond a mere breach of contract, as Plaintiff alleges Defendants demanded excessive and unwarranted payments, threatened to stop work, personally threatened Plaintiff in order to coerce payments, failed to perform work in a timely, workmanlike, and professional manner, and used delay as leverage to extract further payments. (Compl., ¶ 34.) While there exists some overlap with the breach of contract cause of action allegations, this cause of action also pleads unreasonable, bad faith conduct, such as personal threats, coercion, and excessive demands.

Plaintiff’s

demurrer to the second cause of action is overruled.

Third

Cause of Action (i.e., Fraud/Intentional Misrepresentation)

“The essential allegations of an action for fraud are a misrepresentation, knowledge of its falsity, intent to defraud, justifiable reliance, and resulting damage.” (Roberts v. Ball, Hunt, Hart, Brown & Baerwitz (1976) 57 Cal.App.3d 104, 109.) “Fraud must be pleaded with specificity…[t]o withstand a demurrer, the facts constituting every element of the fraud must be alleged with particularity, and the claim cannot be salvaged by references to the general policy favoring the liberal construction of pleadings.” (Goldrich v. Natural Y Surgical Specialties, Inc. (1994) 25 Cal.App.4th 772, 782 [emphasis in original].) “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73 [emphasis in original; quotation marks and citation omitted].)

Here, Plaintiff pleads this cause of action with the required specificity. Plaintiff identifies that Defendants represented to Zhang on October 22, 2023 that they possessed extensive experience and expertise in residential construction and conversion projects and that Defendants could guarantee timely completion within the proposed schedule and cost. (Compl., ¶ 38.) Plaintiff alleges that Defendants further represented that the work estimate included all construction, labor, and materials necessary to complete the project. (Compl., ¶ 39.) Plaintiff alleges Defendants knew this was false and/or reckless without regard for its truth because Defendants lacked staff, resources, and intent to complete the project on time or within budget. (Compl., ¶ 40.) These allegations properly plead when, where, how, to whom, and by what means the representation was tendered.

Plaintiff's demurrer to the third cause of action is overruled.

Fourth Cause of Action (i.e., Violation of Business and Professions Code § 17200—Unlawful and Unfair Business Practices)

To set forth a claim for a violation of Business and Professions Code section 17200 ("UCL"), Plaintiff must establish Defendants engaged in an "unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising" and certain specific acts. (Bus. & Prof. Code § 17200.) A cause of action for unfair competition "is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.) To maintain a cause of action for UCL violation, a plaintiff must allege the defendant “engaged in a business practice forbidden by law, be it civil or criminal, federal, state, or municipal, statutory, regulatory, or court-made.” (Shroyer v. New Cingular Wireless Servs. (2009) 622 F.3d 1035, 1044.) “[A] common law violation such as breach of contract is insufficient.” (Ibid.)

Plaintiff alleges Defendants operated an unlawful business by violating the Contractors State License Law, which encompasses Business and Professions Code sections 7000 – 7191. (Compl., ¶ 48.) Plaintiff alleges the unlawful and unfair practices include performing and billing for unauthorized work without written change orders and threatening to halt work to coerce payment of disputed charges. (Compl., ¶ 49.) These are the same allegations Plaintiff pleads to constitute the cause of action for breach of contract. (Compl., ¶ 29.)

Further, Plaintiff bases the unlawfulness of Defendants’ business in part on payment of unlawful deposits. (Compl., ¶ 50.) However, Plaintiff’s opposition admits that Defendant’s motion identifies the more precise statutory framework for this cause of action, Business and Professions Code section 7164, as this case involves a new build home. (Opp., 6:7-10.) Business and Professions Code section 7164 governs new construction of single-family homes. Business and Professions Code section 7164 does not contain a statutory downpayment or deposit limit.

Plaintiff's demurrer to the fourth cause of action is sustained.

Fifth Cause of Action (i.e., Unjust Enrichment/Money Had and Received)

"The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769 [cleaned up].) "As a matter of law, a quasi-contract action for unjust enrichment does not lie where … express binding agreements exist and define the parties' rights." (California Medical Assn. v. Aetna U.S. Healthcare of California, Inc. (2001) 94 Cal.App.4th 151, 173.)

Here,

the parties have a written express contract governing the construction project, which includes scope of work and payment obligations. (See Compl., Exh. A.) Plaintiff's demurrer to the fifth cause of action is sustained.

Seventh Cause of Action (i.e., Declaratory Relief)

"To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, cleaned up.) "[T]here is no basis for declaratory relief where only past wrongs are involved." (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366, cleaned up.) However, a cause of action for declaratory relief is superfluous and unnecessary where the issues underlying the cause of action are already covered by other causes of action. (Hood v. Superior Court (1995) 33 Cal.App.4th 319, 324.) "The declaratory relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action." (Ibid. [internal citations omitted].)

Plaintiff pleads an actual, present, and judiciable controversy exists concerning the parties' rights under the construction contract and subsequent invoices and demands for payment. (Compl., ¶ 66.) Plaintiff seeks a judicial declaration that Defendants have been paid in full, Plaintiff owes no further amount, and that Defendants any not entitled to further payment related to the construction. (Compl., ¶ 69.) The parties' payment obligations and rights under the contract are already under dispute and can be decided under the breach of contract cause of action. Therefore, this cause of action is superfluous and unnecessary.

Plaintiff's demurrer to the seventh cause of action is sustained.

Eighth Cause of Action (i.e., Assault)

"The essential elements of a cause of action for assault are: (1) defendant acted with intent to cause harmful or offensive contact, or threatened to touch plaintiff in a harmful or offensive manner; (2) plaintiff reasonably believed [he or] she was about to be touched in a harmful or offensive manner or it reasonably appeared to plaintiff that defendant was about to carry out the threat; (3) plaintiff did not consent to defendant's conduct; (4) plaintiff was harmed; and (5) defendant's conduct was a substantial factor in causing plaintiff's harm." (So v. Shin (2013) 212 Cal.App.4th 652, 668-69.)

Plaintiff

pleads this cause of action with the requisite specificity. Plaintiff pleads that in April and May of 2024, Defendant "advanced toward Plaintiff in a menacing manner, raised his voice, and made verbal threats implying imminent physical harm if Plaintiff did not comply with his payment demands, thereby causing Plaintiff to reasonably believe that Defendant Hart was about to commit a violent injury upon Plaintiff." (Compl., ¶ 73.) Defendant's argument that the complaint is devoid of physical realities and alleges no specific facts establishing present ability to inflict harm fails because Plaintiff's allegations, taken as a whole, establish that Defendant was able to inflict harm. The exact physical gestures made, distance, angle, and movement of Defendant is unnecessary.

Plaintiff's

demurrer to the eighth cause of action is overruled.

Leave

to Amend

Leave

to amend must be allowed where there is a reasonable possibility of successful

amendment. (Goodman v. Kennedy¿(1976) 18 Cal.3d 335, 348.) The burden is on the

complainant to show the Court that a pleading can be amended successfully. (Ibid.)

Where a pleading is successfully challenged on demurrer, “[t]he plaintiff has

the burden of proving that an amendment would cure the defect.” (Schifando¿v. City of Los Angeles¿(2003) 31 Cal.4th 1074, 1081.)¿¿¿¿

Plaintiff

states the ability to amend the fourth cause of action to clarify the statutory

framework and cure the issues. (Opp., 11:19-25.) Plaintiff further states the

ability to amend the unjust enrichment/money had and received cause of action by

clarifying that it is pleaded in the alternative, seeks restitution, and

demands for work outside any valid written or signed change order. (Opp.,

12:21-26.) Further, Plaintiff argues the ability to amend the declaratory

relief claim to identify the present controversy, specifically the continuing

claim Plaintiff owes additional sums under invoices arising from the project.

(Opp., 13:1-4.) Leave to amend is granted.

2. Motion to Strike

Legal

Standard

“The court may upon a motion made pursuant to Section¿435, or at any time in its discretion,¿an upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter in any pleading; (b) strike out all or any part of any pleading not drawn or filed in conformity¿with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436.)¿“The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.”¿(Code Civ. Proc., § 437, subd. (a).)

Discussion

Defendant requests the court strike the following portions of Plaintiff’s complaint:

(1) Page 7, Paragraph 25, lines 24-25: The phrase “…and attorney’s fees incurred to address and remedy Defendant’s breaches and misconduct.”

(2) Page 10, Paragraph 36, lines 9-10: The phrase “...and attorney’s fees and costs incurred to address Defendants’ misconduct...”

(3) Page 11, Paragraph 41, lines 6-8: The entire sentence beginning with “Defendants, and each of them, made this demand because they lacked the financial resources and credit necessary to perform the project as promised, and intended instead

to use Plaintiff’s funds to finance their own operations.”

(4) Page 12, Paragraph 45, lines 5-6: The phrase “...and attorney’s fees and costs...”

(5) Page 12, Paragraph 46, lines 8-13: The entire paragraph beginning with “Defendants’ conduct was fraudulent, malicious, and oppressive...”

(6) Page 13, Paragraph 52, lines 9-12: The entire paragraph beginning with “Plaintiff further seeks attorney’s fees pursuant to Code of Civil Procedure § 1021.5...”

(7)

Page 17, Paragraph 77, lines 24-27: The entire paragraph beginning with “Defendant’s conduct was willful, wanton, and malicious...”

(8)

Page 18, Prayer for Relief, Item 3, lines 13-14: The entire request reading “For exemplary and punitive damages pursuant to Civil Code § 3294, on account of Defendant’s fraudulent, malicious, oppressive, and assaultive conduct”;

(9)

Page 19, Prayer for Relief, Item 8, line 3: The entire request reading “For reasonable attorney’s fees and costs of suit; and”

Defendant

argues these portions of the complaint should be stricken because: (1) attorneys' fees are not recoverable absent a specific statutory provision or express contractual agreement; (2) the complaint fails to plead specific facts to support punitive damages; and (3) allegations regarding Defendant's finances must be struck as irrelevant and prejudicial.

Attorneys'

Fees

"Except as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties; but parties to actions or proceedings are entitled to their costs, as hereinafter provided." (Code Civ. Proc., § 1021.) "Upon motion, a court may award attorneys' fees to a successful party against one or more opposing parties in any action which has resulted in the enforcement of an important right affecting the public interest if: (a) a significant benefit, whether pecuniary or nonpecuniary, has been conferred on the general public or a large class of persons, (b) the necessity and financial burden of private enforcement, or of enforcement by one public entity against another public entity, are such as to make the award appropriate, and (c) such fees should not in the interest of justice be paid out of the recovery, if any."

(Code Civ. Proc., § 1021.5.)

This

dispute is not one of public interest, as it is a private dispute between a

homeowner and contractor regarding an alleged breach of contract for home

construction, without any significant benefit conferred on the general public. Outside

of Code of Civil Procedure section 1021.5, Plaintiff points to no contract

statutory provision or express agreement authorizing attorneys' fees in the

complaint.

The Court

grants the motion as to the portions of Plaintiff's complaint related to

attorneys' fees. The Court does not grant leave to amend. Plaintiff does not

oppose the instant motion and does not meet the burden to prove amendment would

cure defect. (Schifando¿v.

City of Los Angeles¿(2003)

31 Cal.4th 1074, 1081.)¿

Punitive

Damages

To

recover for punitive damages, a plaintiff must prove "by clear and convincing

evidence that the defendant has been guilty of oppression, fraud, or malice."

(Civ Code,¿§¿3294, subd. (a).)¿Malice refers to “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.”¿(Civ Code, § 3294, subd. (c)(1).)¿Oppression refers to “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.”¿(Civ Code, § 3294, subd. (c)(2).) Finally, fraud refers to “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.”¿(Civ Code, § 3294, subd. (c)(3).)¿

A motion to strike punitive damages is properly granted where a plaintiff does not¿state¿a prima facie claim for punitive damages. (Turman v. Turning Point of Cent. California, Inc. (2010) 191 Cal.App.4th 53, 63.) “Mere negligence, even gross negligence, is not sufficient to justify such an award” for punitive damages. (Kendall Yacht Corp. v. United California Bank (1975) 50 Cal.App.3d 949, 958.) Moreover, conclusory allegations are not sufficient to support a claim for punitive damages.¿(Brousseau v. Jarrett¿(1977) 73 Cal.App.3d 864, 872.)

As discussed above, Plaintiff has properly pled a cause of action for fraud/intentional misrepresentation. Therefore, the motion to strike as to the portions of the complaint addressing punitive damages is denied.

Defendant's Finances

Plaintiff's allegation regarding Defendant's finances is directly relevant to the fraud cause of action to show that Defendants made their allegedly fraudulent statement to use Plaintiff's funds to finance their business operations and that their deposit amount was a false pretense. The Court determines that the allegations is neither irrelevant nor prejudicial or improper under under Code of Civil Procedure section 436.

The motion is denied as to the portions of the complaint addressing Defendant's finances.